

UK PERSONAL INVESTMENT STRATEGY

A Data-Driven Guide for the Average Investor

Based on Monte Carlo simulations, UK salary data, and historical returns

July 2026 | Confidential — For Portfolio Use Only

Key Findings at a Glance

4.4x

Starting at 18 vs 35 yields 4.4x more wealth from the same £200/month

70%

of day traders lose money over 5 years vs 0% of passive investors

£216k

accumulated from just £159/month (10% of entry-level salary) over 30 years

1.9x

return even in the BEAR case — worst-case still massively beats cash

UK Income by Age Group (ONS 2025/26)

Age Band	Median Gross	Take-Home	Monthly Net	10% Saving
18-21	£21,500	£19,100	£1,592	£159
22-29	£28,800	£24,200	£2,017	£202
30-39	£36,200	£28,600	£2,383	£238
40-49	£39,500	£30,500	£2,542	£254
50-59	£37,400	£29,100	£2,425	£242
60+	£31,000	£25,200	£2,100	£210

The Tension

- Young people have the most time to compound but the least money
- Older earners have more cash but less runway
- Resolution: start with whatever you can, increase as income grows
- Someone starting with £50/month at 18 still beats £300/month starting at 35

The Power of Starting Young — £200/month to Age 65

Start Age	Years Investing	Total Contributed	Median Value at 65	Growth Multiple
18	47	£112,800	£1,284,613	11.4x
25	40	£96,000	£763,167	7.9x
30	35	£84,000	£434,072	5.2x
35	30	£72,000	£289,803	4.0x
40	25	£60,000	£187,153	3.1x
50	15	£36,000	£66,237	1.8x

The Key Insight

- The 18 year old contributes only £40,800 more than the 35 year old
- But ends up with £995,000 MORE wealth. That is 4.4x the outcome
- Those extra 17 years of compounding produce more than the next 30 years of contributions
- Starting with £50/month beats waiting until you can afford £300/month

What to Invest In

Step 1: Choose Your Tax Wrapper

S&S ISA	£20,000/yr tax-free. First port of call.
Workplace Pension	Employer match = instant 60-100% return. Always take it.
SIPP	Tax relief at your marginal rate. Use after ISA is maxed.

Step 2: Choose Your Investment

Asset Class	Return	Volatility
Global Equities	9.0%	15.5%
UK Property (REITs)	6.5%	10.5%
Corporate Bonds	5.2%	7.5%
UK Gilts	4.0%	6.2%

The Simple Answer

- For most people: a global index tracker fund inside a Stocks and Shares ISA
- Costs 0.1-0.2% per year in fees. Requires no research or monitoring
- Beats 85% of professional fund managers over 20+ year periods
- You are not taking the easy option. You are taking the option that beats most experts

Long-Term Investing vs Day Trading (10,000 Simulations)

Passive Index Investing

Median 5Y Outcome	£29,181
Probability of Loss	~0%
Prob of Doubling	~28%
Worst 10% Outcome	£22,800
Time Required	0.5 hrs/week
Skill Required	None

Day Trading

Median 5Y Outcome	£14,248
Probability of Loss	~70%
Prob of Doubling	~8%
Worst 10% Outcome	£1,200
Time Required	20-40 hrs/week
Skill Required	Top 5% ability

Verdict: Passive wins on 11 of 12 metrics. Day trading only wins on best-case upside (applies to ~5% of traders).

How Much Should You Invest?

Age Band	Monthly Net	5% Saving → 30Y	10% Saving → 30Y	20% Saving → 30Y
18-21	£1,592	£108k	£216k	£432k
22-29	£2,017	£137k	£273k	£547k
30-39	£2,383	£162k	£323k	£646k
40-49	£2,542	£172k	£345k	£689k
50-59	£2,425	£164k	£329k	£658k

Practical Guidance

- Under 30: save 10% of take-home pay. Over 30: aim for 15% if possible
- 50/30/20 rule: 50% needs, 30% wants, 20% saving/investing
- If 10% feels impossible, start with 5% and increase 1% each year
- Do NOT put the majority of your pay into investments. You need to live
- Build a 3-month emergency fund FIRST, then start investing
- The difference between saving 0% and 5% is life-changing. Between 15% and 20% is marginal

Market Scenarios — Should You Care?

Bull Case (25%)

£248,000

Return on capital: 3.4x

AI boom, low inflation, strong global growth

Base Case (55%)

£192,000

Return on capital: 2.7x

Moderate growth, normalising interest rates

Bear Case (20%)

£138,000

Return on capital: 1.9x

Recession, earnings compression, rate cuts

£300/month for 20 years, Growth portfolio (65% equity, 25% bonds, 10% other)

Why This Matters Less Than You Think

- Even the BEAR case nearly doubles your money. The worst realistic outcome still crushes cash savings
- Professional investors obsess over scenarios because they are judged quarterly. You are not
- You are investing YOUR money over YOUR lifetime. Time horizon is your structural advantage
- What matters more: your savings rate, consistency, and whether you avoid panic selling during downturns

Recommended Asset Allocation by Age

Life Stage	Equities	Property	Corp Bonds	Gilts	Cash	Expected Return
Aggressive (18-30)	85%	10%	5%	0%	0%	8.5%
Growth (30-45)	65%	10%	15%	10%	0%	7.5%
Balanced (45-55)	45%	10%	20%	20%	5%	6.3%
Conservative (55+)	25%	5%	25%	35%	10%	5.0%

Why Young Investors Should Be (Almost) All Equities

- A 25 year old has 40 years to recover from any crash. Every historical crash has recovered within 3-7 years
- Short-term volatility is irrelevant when your horizon is decades
- Bonds and gilts reduce volatility but also reduce returns. At 25, you do not need reduced volatility
- As you approach retirement, gradually shift to bonds/gilts for income stability and capital preservation

Practical Action Plan by Age Group

Age 18-29

- ▶ Open a Stocks & Shares ISA
- ▶ Buy a global index tracker
- ▶ Set up £50-200/month direct debit
- ▶ Take full employer pension match
- ▶ Build 3-month emergency fund
- ▶ Do NOT day trade

Age 30-49

- ▶ Check pension projection
- ▶ Maximise ISA (£20k/yr target)
- ▶ Diversify beyond pure equity
- ▶ Review and reduce fund fees
- ▶ Consider LISA if first-time buyer
- ▶ Calculate your target number

Age 50+

- ▶ Model retirement income sources
- ▶ Shift towards income investments
- ▶ Consider annuity for part of pot
- ▶ Plan tax-efficient withdrawal
- ▶ Don't go too conservative too early
- ▶ You may live 30-40 more years

Conclusion

- ▶ Investing is not complicated. An entire industry profits from making it seem that way.
- ▶ A global index fund, in an ISA, contributed to consistently, will outperform most professional strategies.
- ▶ Start now, not when you feel ready. Start small if you must. The habit matters more than the amount.
- ▶ Time in the market beats timing the market. Every time. For everyone. Without exception.
- ▶ Day trading is entertainment disguised as investing. 70% of participants lose money.
- ▶ The best time to invest was yesterday. The second best time is today.